in 1956 to over 14,000 in March 1968, and that assisted by the subsidiary banks from 384 at the end of 1960 to over 4,000 in March 1968. Total credit limits sanctioned expanded from ₹11 lakhs to ₹93 crores in the case of the SBI and from ₹2.7 crores to ₹26.0 crores in the case of the subsidiary banks during the respective periods. The bank and the subsidiaries grant not only working capital advances but also medium-term loans and installment credit facilities to the small-scale units.[15]

One of the schemes introduced by the bank was specially designed to help the 'small man'. Under this scheme, the bank extended financial assistance to persons who had the ability and came up with worthwhile projects but did not possess adequate, and in some cases any financial resources, of their own. The scheme which was designed to give a boost to the flowering of latent technical talent covered technically sound and economically viable projects to be set up in industrial estates or in industrial areas. The assistance covered the full range of financial requirements of the prospective entrepreneurs including, where warranted, part or even the whole of the owner's equity. Thus the traditional concept of lending against security was making place for loans in the priority sector. As R.K. Talwar observed, 'This change follows from the social purpose which underlies the establishment of the bank. It has also deeper significance in the field of economic growth, for it shows the responsiveness of a public-spirited financial institution to mould its methods of business so as to accommodate the entrepreneur to the maximum possible extent and thus help in accelerating the process of growth.'[16]

FINANCE TO AGRICULTURE

As discussed before, the bank was contributing to the supply of rural credit mainly by helping the development of co-operative institutions in the field of credit, marketing, and processing. Apart from some limited amount of direct finance to agriculturists and plantations, the bank's finance for agriculture was channeled mainly through the co-operative structure. Direct financing of agriculturists, as such, was not expected of the bank.

However, in view of the inadequacies in the rural credit structure, the bank started orienting its policy towards direct financing of agriculturists. A beginning in this direction was made in 1965 when the bank began